



Time: 5 minutes

Outcome: Use elasticity to determine and calculate the distribution of tax burdens.

Difficulty: Beginner

Tax Incidence with Elasticity

THE CORE IDEA

Tax incidence depends on relative elasticity: the less responsive side of the market bears more of the tax burden. That side changes quantity less when the tax alters the price it pays or receives, so more of the tax wedge appears on its side of the market. Legal responsibility for remitting the tax does not determine its economic burden.

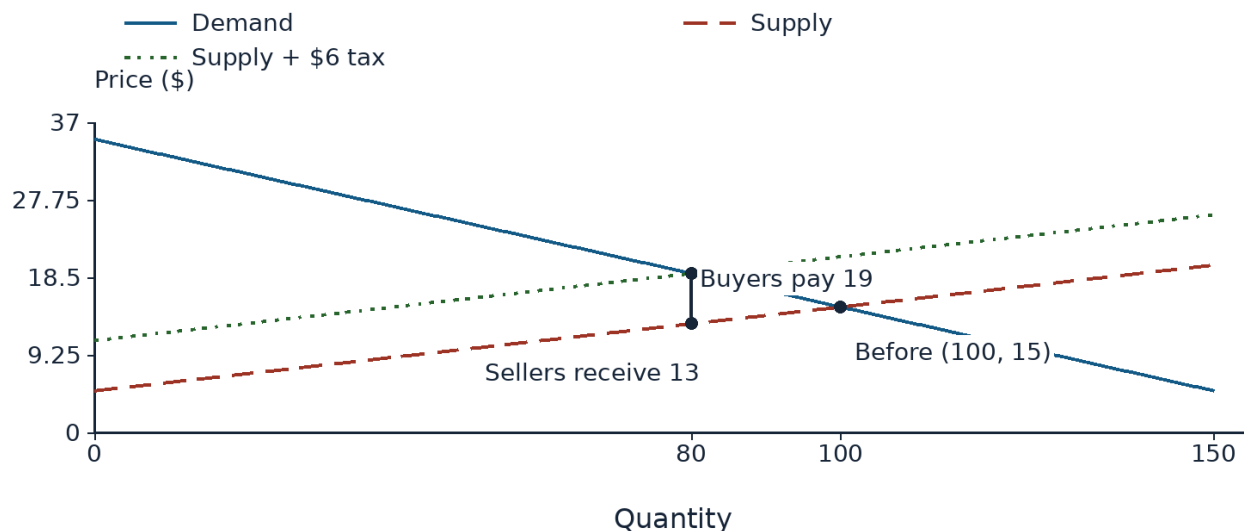
HOW TO RECOGNIZE IT

- The more elastic side can respond more easily, so it bears less of the tax burden.
- The less elastic side bears more of the tax burden; identify that side from the market conditions.
- A tax on cigarettes causes only a small drop in quantity but a large increase in buyer price.
- In one market, demand is much more elastic than supply.

WATCH OUT

The less elastic side bears more of a tax because it changes quantity less readily. The side that legally sends the payment to government need not bear most of the burden.

WORKED EXAMPLE: COMPARING TAX BURDENS



Before tax, price is \$15 and quantity is 100. A \$6 tax reduces quantity to 80; buyers pay \$19 and sellers receive \$13. Buyers bear \$4 per unit, or \$320, while sellers bear \$2 per unit, or \$160. At the initial equilibrium, demand is less elastic than supply, so buyers bear more of the wedge.

CHECK YOURSELF

When demand is less elastic than supply, which side is less able to avoid the tax?